Turkey: MSCI action raises pressure on market cleanup

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MSCI's warning could delay Turkey's equity-market recovery and intensify pressure for political accountability, though Finance Minister Mehmet Simsek

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MSCI action intensifies pressure on Turkey’s market cleanup effort

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What Happened

Disappointing hopes for a favorable signal at its annual index review, MSCI on 15 October froze additions and upward weighting adjustments to its Turkish indexes, warning of a potential downgrade from emerging-markets status in 2027. The decision sent the BIST 100 down 3%, nearly 30% below its May peak. MSCI's earlier warnings about concentrated fund ownership had triggered a regulatory crackdown in September that burst Turkey's fund bubble, affecting over 500,000 investors and erasing $20 billion from the markets.

Our Take

MSCI's latest statement will weigh on Turkey's equity recovery, but the immediate downside should be limited. Turkey accounts for 0.4% of the MSCI Emerging Markets Index. In the absence of a downgrade, the global impact should be modest, though the decision could delay Turkey's equity recovery and pressure the lira. The negative outlook shows that the crackdown has not resolved doubts about market oversight. Two speculative bubbles have now burst in Turkey in three years (see: Turkey’s equity rout tests Ankara’s lira savings strategy , 16 September 2026). MSCI's demand for “credible and sustained enforcement” suggests that investors expect Ankara to prevent future bubbles, not merely address the fallout from the latest one.

The government's cleanup is losing momentum as pressure for accountability grows within its own base. Early statements by President Recep Tayyip Erdoğan had raised expectations of a thorough cleanup. Since then, the government has grown defensive, with few senior figures facing consequences. Deflection through opposition corruption allegations, calls for investors to voluntarily return excessive profits, and heavy-handed treatment of critical media—including the arrest of journalists and the takeover of a leading opposition channel—have raised further doubts about the promised cleanup.

Breaking with its reluctance to criticize the government, an influential religious community demanded accountability over the episode. It was publicly supported by the leader of conservative business

association MUSIAD, whose former chairman now serves as commerce minister. The investor compensation package has also disappointed many. Repayments will now be based on net invested capital after withdrawals and capped at depreciated fund values. Investors instead demand pre-crackdown valuations and refunds of the 17.5% withholding tax on fund gains. These demands are unlikely to be met. With much of the population facing economic hardship, using public funds to compensate stock market investors for their losses would be difficult to justify.

Restoring confidence will require further accountability. The key tests are whether investigations into politically connected figures proceed and what the State Supervisory Council inquiry ordered by Erdogan uncovers. Senior regulators have already lost their jobs. Further changes could extend to political appointees, possibly through a cabinet shuffle after the inquiry. Breaking with Erdogan's preference for handling wrongdoing by loyal associates discreetly would help restore confidence, though at considerable cost to those implicated. Those seeking to avoid accountability may instead seek a scapegoat in Finance Minister Mehmet Simsek. Despite these pressures, our assessment that he will remain in office is unchanged (see: Turkey’s finance minister likely to emerge stronger from scandal , 08 October 2026).

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